Foundations of machine learning

Large language models: Training and architecture

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Outline

- Language models and the training pipeline.
  - The decision problem at each stage: Pretraining, supervised fine-tuning, preference optimization, RL with verifiable rewards.
- Training algorithms.
  - Stochastic gradient descent, reward models, policy gradient, direct preference optimization.
- The transformer architecture.
  - Self-attention, transformer blocks.

Running example: Olmo 3, a fully open model (data, code, checkpoints).

Takeaways for this part of class

- A language model is a model $\pi_\theta(y_t|y_1, \ldots, y_{t-1})$ for the next token.
  All stages of training choose θ for this same model.
- Pretraining and supervised fine-tuning:
  Maximum likelihood on given text, i.e., minimizing KL divergence to the data.
- Preference optimization and RL with verifiable rewards:
  Responses that evaluators prefer should become more likely,
  without moving too far from a reference model.
- Policy gradient methods estimate the direction of improvement.
  Baselines reduce the variance of these estimates.
- Transformers stack self-attention layers (kernel smoothing across positions)
  and position-wise neural nets.

Language models and the training pipeline

Training algorithms

The transformer architecture

Language models

- Text is split into *tokens*: elements of a finite vocabulary $\mathcal{V}$.
  Words, pieces of words, punctuation. Olmo 3: $|\mathcal{V}| \approx 100{,}000$.
- A language model is a distribution over token sequences $y = (y_1, \ldots, y_T)$,

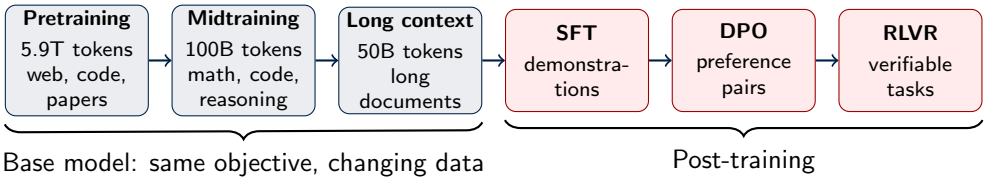
$$p_\theta(y) = \prod_{t=1}^{T} \pi_\theta(y_t | y_{<t}), \qquad y_{<t} = (y_1, \ldots, y_{t-1}).$$

- Prompts x (questions, instructions, conversations so far) and responses y:

$$\pi_\theta(y|x) = \prod_{t=1}^{T} \pi_\theta(y_t | x, y_{<t}).$$

- Generation: Sample y_1, then y_2 given y_1, etc., until an end-of-text token.
- Recall the RL lecture: π_θ is a policy.
  State: the text so far. Action: the next token.

The training pipeline of Olmo 3



- Olmo 3 (Allen Institute for AI, 2025): 7B and 32B parameter models. Data, training code, and intermediate checkpoints are public.
- Similar pipelines are used for most current models.
- Next: The decision problem (data, objective) for each stage.

Reminder: Kullback-Leibler divergence

- For two distributions P and Q of a discrete random variable Y:

$$D_{KL}(P\|Q) = E_{Y\sim P}\left[\log \frac{P(Y)}{Q(Y)}\right] = \sum_y P(y)\log\frac{P(y)}{Q(y)}.$$

- $D_{KL}(P\|Q) \geq 0$, with equality iff $P = Q$ (by Jensen's inequality).
  Not symmetric: $D_{KL}(P\|Q) \neq D_{KL}(Q\|P)$ in general.

- Connection to maximum likelihood:
  For $Y_i \sim P$ i.i.d. and a model Q_θ,

$$\frac{1}{n}\sum_{i=1}^{n}\log Q_\theta(Y_i) \;\to\; E_P[\log Q_\theta(Y)] = E_P[\log P(Y)] - D_{KL}(P\|Q_\theta).$$

$\Rightarrow$ Maximum likelihood minimizes an estimate of $D_{KL}(P\|Q_\theta)$.
If the model is misspecified, it targets the KL-closest model (pseudo-true parameter).

Pretraining

- Data: A huge corpus of documents $y \sim P$.
- Objective: Minimize the expected log loss (negative log likelihood),

$$R(\theta) = E_{y \sim P}\left[-\sum_t \log \pi_\theta(y_t | y_{<t})\right].$$

- By the previous slide, this is equivalent to minimizing

$$\sum_t E\left[D_{KL}\left(P(\cdot|y_{<t}) \,\|\, \pi_\theta(\cdot|y_{<t})\right)\right].$$

- Minimized by the true conditional distribution:
  Log loss is a proper scoring rule.
- Pretraining is maximum likelihood estimation
  of a very flexible model for the distribution of text.

Supervised fine-tuning (SFT)

- Data: Demonstrations (x, y).
  Prompts and high-quality responses (written by people, or by stronger models).
- Objective: The same log loss, but only for the response tokens,

$$R_{SFT}(\theta) = E\left[-\sum_t \log \pi_\theta(y_t|x, y_{<t})\right].$$

- The prompt is conditioned on, not predicted.
- Teaches the format of interactions:
  Following instructions, multi-turn chat, step-by-step reasoning.
- This is *imitation learning*:
  Learn a policy from observing the actions of an expert.

Learning from preferences

- For many prompts, good responses are easier to recognize than to write.
- Data: Prompts x, pairs of responses, and a judgment which one is better, $y_w \succ y_l$. Judgments by people, or by another model.
- Suppose there was a reward function $r(x, y)$. Objective:

$$\max_{\theta} E_x \left[E_{y \sim \pi_\theta(\cdot|x)} [r(x,y)] - \beta \cdot D_{KL} \left(\pi_\theta(\cdot|x) \,\|\, \pi_{\text{ref}}(\cdot|x) \right) \right].$$

- π_{ref}: Reference model, typically the SFT model. $\beta > 0$: Penalty weight.
- Why the penalty?
  The reward is estimated, and only reliable close to the data.
  Keep the language ability of the reference model.
- New: The expectation is over the model's *own* responses.

Reinforcement learning with verifiable rewards (RLVR)

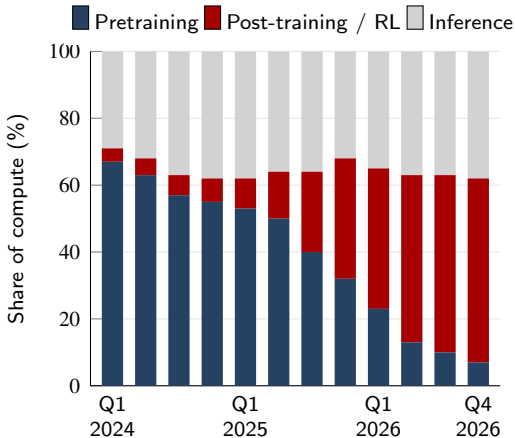
- For some tasks, correctness can be checked automatically:
  - Math problems with known answers.
  - Code with unit tests.
  - Instructions with checkable constraints ("answer in less than 50 words").
- Reward: $r(x, y) = 1$ if the verifier accepts the response, 0 otherwise.
- Objective: Same as before (possibly with $\beta = 0$).
  No reward model needs to be estimated.
- Only the final answer is checked; the tokens before it are unconstrained.
  $\Rightarrow$ Models learn to produce long chains of reasoning before answering.
  "Thinking" models (Olmo 3 Think, DeepSeek-R1).

Summary: Four decision problems for one model

Stage	Data	Who writes y?	Objective
Pretraining	documents	people	$\min_\theta E_P[-\log \pi_\theta(y)]$
SFT	prompts, demonstrations	people / models	$\min_\theta E[-\log \pi_\theta(y\|x)]$
Preferences	prompts, comparisons	π_θ	$\max_\theta E_{\pi_\theta}[r] - \beta D_{KL}(\pi_\theta \| \pi_{\text{ref}})$
RLVR	prompts, verifier	π_θ	$\max_\theta E_{\pi_\theta}[r] - \beta D_{KL}(\pi_\theta \| \pi_{\text{ref}})$

- First two rows: Fit the distribution of given data.
  Minimize $D_{KL}(P\|\pi_\theta)$: Learning from examples.
- Last two rows: Improve the model's own behavior.
  Our actions determine what we observe, as in bandits and RL:
  Learning from feedback.

Where does the compute go?



- Share of OpenAI's and Anthropic's compute capacity, by quarter.
- 2024: Post-training was a small add-on to pretraining.
- 2026: More than half of compute goes to post-training, mostly RL.
- These are shares, not levels; total compute grew rapidly.
- Industry estimates; Q3–Q4 2026 are projections.

Source: SemiAnalysis Tokenomics Model, as shown in the Financial Times (2026). Values read off the published chart.

Language models and the training pipeline

Training algorithms

The transformer architecture

Pretraining: Stochastic gradient descent

- No closed form for the maximum likelihood estimator:
  Follow the gradient of the log likelihood.
- The network produces logits $z = f_\theta(y_{<t})$, and $\pi_\theta(\cdot|y_{<t}) = \text{softmax}(z)$.
  Gradient of the log loss with respect to the logits:

$$\nabla_z(-\log \pi_\theta(y_t|y_{<t})) = \pi_\theta(\cdot|y_{<t}) - e_{y_t}.$$

- Interpretation: Raise the probability of the token that actually came next, lower all others in proportion to their predicted probability.
- Gradient with respect to θ: Chain rule, i.e., backpropagation.
- The gradient for a random batch of documents is an unbiased estimate of the full gradient, at a small fraction of the cost.

One pass through the data: Online learning

- Pretraining makes (roughly) one pass through the data.
  Each gradient step uses new documents.
- This is the online convex optimization setting:
  Loss $f_t(\theta)$ for batch t, and online gradient descent.
- Recall: For convex losses, regret of online gradient descent is $O(\sqrt{T})$.
  Online-to-batch conversion: Average iterate has excess risk $O(1/\sqrt{T})$.
- The loss on each new batch is an out-of-sample estimate of the risk.
- Caveat: Neural nets are not convex.
  The theory provides intuition, not guarantees.

Why go beyond imitation?

- SFT uses the same algorithm, on prompt-response pairs.
- Distribution shift:
  - In training, the context is always produced by the expert.
  - In use, the context includes the model's own previous tokens.
  - Errors compound: A mistake leads to contexts never seen in training.
- Imitation cannot exceed the quality of the demonstrations.

$\Rightarrow$ Learn from feedback on the model's own responses:
Responses that evaluators prefer should become more likely.
Evaluators: people, a model trained on their judgments, or automated checks.

Reward models

- Preference data (x, y_w, y_l). Bradley-Terry model:

$$P(y_w \succ y_l | x) = \sigma\big(r(x, y_w) - r(x, y_l)\big), \qquad \sigma(u) = \frac{1}{1 + e^{-u}}.$$

- This is a random utility model:
  Utility $r(x, y) + \varepsilon$, with ε i.i.d. type I extreme value $\Rightarrow$ binary logit.
- Estimate a reward model r_ϕ (a language model with scalar output)
  by maximum likelihood.
- Identification: $r(x, y)$ and $r(x, y) + c(x)$ imply the same choice probabilities.
  Only differences between responses to the same prompt are identified.

Policy gradient: Making preferred responses more likely

- Goal: Increase the expected reward $E_{y\sim\pi_\theta(\cdot|x)}[r(x,y)]$.
- Policy gradient theorem (RL lecture), with one response as one episode:

$$\nabla_\theta E_{y\sim\pi_\theta(\cdot|x)}[r(x,y)] = E_{y\sim\pi_\theta(\cdot|x)}\left[r(x,y)\cdot\nabla_\theta \log \pi_\theta(y|x)\right].$$

- $\nabla_\theta \log \pi_\theta(y|x)$ is the direction that makes response y more likely.
- Unbiased estimate: Sample a response from the current model, and move in this direction, scaled by its reward (REINFORCE).
- KL penalty: Use $r - \beta \log(\pi_\theta/\pi_{\text{ref}})$ as reward.
- Problem: If all rewards are positive, every sampled response is pushed up. Good responses gain only on average $\Rightarrow$ noisy gradient estimates.

Reducing variance: Baselines

- Among unbiased estimates of the gradient,
  we prefer those with smaller variance.
- For any baseline $b(x)$ that does not depend on the response,

$$E_{y\sim\pi_\theta}\left[b(x)\nabla_\theta \log \pi_\theta(y|x)\right] = b(x)\sum_y \nabla_\theta \pi_\theta(y|x) = b(x)\nabla_\theta 1 = 0.$$

- So $\big(r(x,y) - b(x)\big)\nabla_\theta \log \pi_\theta(y|x)$ is also unbiased.
  Its variance is small if $b(x)$ is close to the expected reward.
- Then: Responses better than expected become more likely,
  responses worse than expected become less likely.
- GRPO (used in Olmo 3): Sample a group of responses for each prompt;
  baseline $b(x) =$ their average reward.
- If all responses in a group get the same reward, there is no signal.
  Training prompts should be neither too easy nor too hard.

Practice problem (Group baselines)

For a prompt x, sample G responses $y_1, \ldots, y_G$ i.i.d. from $\pi_\theta(\cdot|x)$, with rewards $r_i = r(x, y_i)$.
Let $\bar{r} = \frac{1}{G}\sum_j r_j$, and $\bar{r}_{-i} = \frac{1}{G-1}\sum_{j \neq i} r_j$.

1. Show that the leave-one-out baseline gives an unbiased gradient estimate:

$$E\left[(r_i - \bar{r}_{-i})\nabla_\theta \log \pi_\theta(y_i|x)\right] = \nabla_\theta E_{y\sim\pi_\theta}[r(x,y)].$$

2. Show that $r_i - \bar{r} = \frac{G-1}{G}(r_i - \bar{r}_{-i})$.
   What does this imply for the GRPO baseline $\bar{r}$?

3. What is the update if all G responses get the same reward?

The solution of the penalized problem

Practice problem

Fix a prompt x. Show that the maximizer over all distributions π of

$$E_{y\sim\pi}[r(x,y)] - \beta \cdot D_{KL}\left(\pi \,\|\, \pi_{\text{ref}}(\cdot|x)\right)$$

is given by

$$\pi^*(y|x) = \frac{1}{Z(x)} \cdot \pi_{\text{ref}}(y|x) \cdot \exp\left(r(x,y)/\beta\right),$$

where $Z(x) = \sum_y \pi_{\text{ref}}(y|x) \exp(r(x,y)/\beta)$.

Hint: Write the objective as $-\beta \cdot D_{KL}(\pi \| \pi^*) + \text{const}$.

Solution and interpretation

- Rearranging,

$$E_\pi\left[r-\beta\log\frac{\pi}{\pi_{\text{ref}}}\right]=-\beta\cdot E_\pi\left[\log\frac{\pi}{\pi_{\text{ref}}\,e^{r/\beta}/Z}\right]+\beta\log Z=-\beta\cdot D_{KL}(\pi\|\pi^*)+\beta\log Z.$$

  $D_{KL}\geq 0$, with equality iff $\pi=\pi^*$. $\square$

- Interpretation as Bayes' rule:
  Prior π_{ref}, "likelihood" $\exp(r/\beta)$, posterior π^*.

- $\beta\to 0$: Choose the reward-maximizing response. $\beta\to\infty$: Stay with π_{ref}.

- $Z(x)$ sums over all possible responses, so π^* cannot be computed directly.
  Policy gradient methods approach it by sampling.

Direct preference optimization (DPO)

- Idea: We know the form of the optimal policy.
  Fit it to the preference data directly, without a reward model.
- Invert the solution: $r(x,y) = \beta \log \frac{\pi^*(y|x)}{\pi_{\text{ref}}(y|x)} + \beta \log Z(x)$.
- Substitute into Bradley-Terry.
  $Z(x)$ cancels, since only reward differences matter.
- Maximum likelihood for the policy:

$$\min_\theta -\sum_i \log \sigma \left(\beta \log \frac{\pi_\theta(y_{w,i}|x_i)}{\pi_{\text{ref}}(y_{w,i}|x_i)} - \beta \log \frac{\pi_\theta(y_{l,i}|x_i)}{\pi_{\text{ref}}(y_{l,i}|x_i)} \right).$$

- Preferred responses become more likely, rejected ones less likely,
  relative to the reference model.
- Supervised learning: No reward model, no sampling. Used in Olmo 3 after SFT.

Over-optimization

- The estimated reward r_ϕ is only a proxy for what evaluators prefer.
- Optimizing hard against the proxy:
  True quality first rises, then falls, as π_θ moves away from π_{ref}.
- Recall shrinkage and the winner's curse:
  Responses with the highest *estimated* reward are disproportionately those with the largest *estimation error*.
- The penalty β controls how far we move from π_{ref}.
- Verifiers can be gamed as well:
  E.g., code that special-cases the unit tests.

Language models and the training pipeline

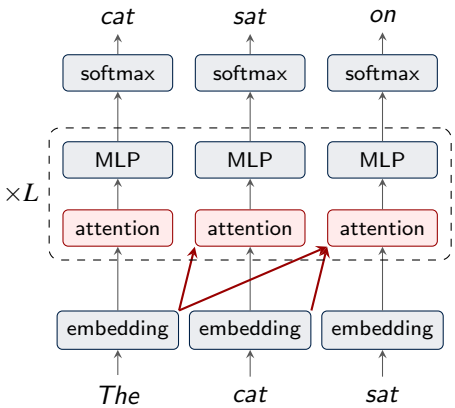
Training algorithms

The transformer architecture

What does the architecture need to do?

- So far, we only needed $\pi_\theta(y_t|y_{<t})$ to be differentiable in θ.
- Which functional form? Requirements:
  1. Map contexts of varying length to a distribution over $\mathcal{V}$.
     Contexts can be long (Olmo 3: up to 65,536 tokens).
  2. Causality: The prediction of y_{t+1} may only use $y_1, \ldots, y_t$.
  3. Relevant context can be far back in the text.
- Leading answer: The transformer (Vaswani et al., 2017).
- One vector per position, transformed in L rounds.
  The final vector at position t yields the prediction for y_{t+1}.

Overview of the transformer



Prediction of the next token, at each position

Output: multinomial logit over $\mathcal{V}$

MLP: neural net, each position separately

Attention: combines information across positions $j \leq i$

Embedding: lookup table, token $\mapsto$ vector in $\mathbb{R}^d$

Input tokens $y_1, \ldots, y_t$

Dashed box: One transformer block, repeated L times (plus residual connections and normalization).

Self-attention

- Linear maps of each position's vector h_i:
  query $q_i = W^q h_i$, key $k_j = W^k h_j$, value $v_j = W^v h_j$.
- Output at position i: Weighted average of values at positions $j \leq i$,

$$o_i = \sum_{j \leq i} \alpha_{ij} v_j, \qquad \alpha_{ij} = \frac{\exp\left(\langle q_i, k_j \rangle / \sqrt{d_k}\right)}{\sum_{j' \leq i} \exp\left(\langle q_i, k_{j'} \rangle / \sqrt{d_k}\right)}.$$

- Weight α_{ij}: How relevant is position j as context for position i?
- Restriction to $j \leq i$ (causal masking):
  The output at position i can be used to predict y_{i+1}.
- Multi-head attention: Several such layers in parallel, with separate weights.
  Context matters in different ways (grammar, reference, topic).

Attention as kernel regression

- Recall the Nadaraya-Watson kernel regression estimator:

$$\hat{m}(x) = \frac{\sum_j K(x, X_j) \cdot Y_j}{\sum_j K(x, X_j)}.$$

- Attention has the same form:
  Query q_i = evaluation point, keys k_j = regressors, values v_j = outcomes,
  kernel $K(q,k) = \exp(\langle q,k \rangle / \sqrt{d_k})$.
- Differences to standard kernel regression:
  - The metric (W^q, W^k) and the outcomes (W^v) are learned.
  - Weights depend on content, not on distance in the text.
    Contrast to time series models, where weights depend only on $|i-j|$.
- Word order still matters. Olmo 3 rotates q_i and k_j by angles
  proportional to i and j, so that weights also depend on $j-i$.

Transformer blocks

- Each block combines attention and an MLP, with residual connections:

$$u = h + \text{MultiHeadAttention}(\text{Norm}(h)),$$
$$h' = u + \text{MLP}(\text{Norm}(u)).$$

- MLP: A two-layer neural net, applied to each position separately.
- Norm: Rescaling of vectors, for numerical stability.
- Residual connections: Each block *adds* to a running "residual stream," rather than replacing it.

Summary: The architecture of Olmo 3 7B

Component	Operation	Parameters	Olmo 3 7B
Embedding	$h_t^0 = e_{y_t}$	$\lvert\mathcal{V}\rvert \cdot d$	0.4B
Attention (L blocks)	$o_i = \sum_{j \le i} \alpha_{ij} W^v h_j$	$4d^2$ per block	2.1B
MLP (L blocks)	two-layer net, each position	$\approx 8d^2$ per block	4.3B
Output	softmax$(W^{out} h_t^L)$	$\lvert\mathcal{V}\rvert \cdot d$	0.4B
Total		$\approx 12Ld^2 + 2\lvert\mathcal{V}\rvert d$	7.3B

Olmo 3 7B: $d = 4096$, $L = 32$ blocks, 32 attention heads, $|\mathcal{V}| \approx 100{,}000$.

- Training compute: About 6 operations per parameter per token.
  For 5.9T tokens: $6 \cdot 7.3 \cdot 10^9 \cdot 5.9 \cdot 10^{12} \approx 2.6 \cdot 10^{23}$ operations.
- Attention compares all pairs of positions: Cost quadratic in context length.
  OLMo Hybrid (2026) replaces 3 of 4 attention layers by recurrent layers.

Connections to earlier parts of class

- Decision theory: Log loss as a proper scoring rule.
  The penalized objective and its Bayesian interpretation.
- Neural nets: Softmax output layer, backpropagation, SGD.
- Online convex optimization: Single-pass SGD, online-to-batch conversion.
- Shrinkage: The winner's curse behind reward over-optimization.
- Kernel methods: Attention as Nadaraya-Watson regression.
- Bandits and RL: Learning from the model's own actions.
  Policy gradient, baselines, GRPO.

Readings

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